

1.6 PROPERTY RIGHTS

Multiple Choice Questions

1988/AL/I/23

Under private property rights, the main criterion used to allocate resources is

- A. seniority.
- B. price.
- C. rank
- D. wealth

1990/AL/I/29

In an ocean which is **NOT** privately-owned, fish

- A. are a free good, because they are so abundant that more of them are not wanted.
- B. are not an economic good if the fishermen are not allowed by the government to compete among themselves.
- C. are a public good, because the fish are publicly-owned.
- D. are an economic good, because we are willing to sacrifice something in exchange for the fish.

1992/AL/I/24

If private ownership of a forest is abolished, and the forest is subject to common exploitation,

- A. the rate of depletion will remain unchanged.
- B. the trees will become a public good.
- C. the private cost of cutting trees will differ from the social cost.
- D. the trees will become a free good because they no longer have a price.

1994/AL/I/10

If the beach in Repulse Bay is privatized,

- A. the rate of utilization will remain unchanged.
- B. the rate of utilization will most likely be reduced.
- C. the beach will be cleaner than before.
- D. the poor will be deprived of the opportunity to use the beach.

1994/AL/I/18

The Home Ownership Scheme (HOS) usually attracts 10 times more applications than the number of flats available for sale. At present, selection is done randomly by computer, and the flats are not transferable within ten years of purchase. If new HOS flats are freely transferable,

- A. less applications would be expected.
- B. even more applications would be expected.
- C. the poor will sell their HOS flats to the rich.
- D. the rich will sell their HOS flats to the poor.

1994/AL/I/26

Which of the following is/are associated with private property rights?

- A. the right to use the property exclusively
- B. the exclusive right to enjoy income from the property
- C. the right to sell the property outright
- D. All of the above.

1995/AL/I/16

An apple tree subject to unrestrained common exploitation

- A. has no market value.
- B. will be harvested later.
- C. is a public good.
- D. has a positive price.

1997/AL/I/12

The Diaoyu Islands (釣魚台) issue shows that

- A. there is a cost in defining and enforcing property rights.
- B. exchange is impossible without private property rights.
- C. demonstrators pay a cost in exploitation of the common property.
- D. All of the above.

1997/AL/I/19

A common property

- A. has no market price.
- B. always implies allocative inefficiency.
- C. always has a zero consumer surplus.
- D. (out of syllabus)

2000/AL/I/28

A common property

- A. induces non-price competition.
- B. is a free good because it has no market price.
- C. is a good that can be consumed concurrently by more than one individual.
- D. is a good owned collectively by more than one individual.

2004/AL/I/26

Property rights arise whenever

- A. there is scarcity.
- B. there is a society.
- C. there is a society with scarcity.
- D. production is subject to the law of diminishing returns.

2010/AL/I/20

Which of the following statements about private property rights is correct?

- A. Private property rights may exist without a court of law.
- B. Private property rights may be protected by local customs.
- C. Private property rights are an essential prelude for market transactions.
- D. All of the above

2011/AL/I/02

Scarcity in society implies

- A. shortage.
- B. the emergence of private property rights.
- C. the existence of price.
- D. there is no such thing as a free good.

2011/AL/I/25

Which of the following statements about property rights is correct?

- A. Property rights arise only when resources are allocated through the price mechanism.
- B. Property rights arise whenever there is scarcity.
- C. Property rights arise when individuals in a society compete for resources.
- D. All of the above

2016/DSE/I/05

Marlene had bought a cookery book from a bookstore. Her friend, Kitman, said to her, "You have private property rights to this cookery book." Which of the following rights would Marlene have after the purchase of the book?

- (1) To follow the recipes in the book in preparing a dinner for Kitman
 - (2) To scan and upload the whole book to her blog
 - (3) To leave the book on the bookshelf without reading it
 - (4) To lend the book to Kitman and ask for a dinner in return
- A. (1), (2) and (3) only
 - B. (1), (2) and (4) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only

2019/DSE/I/01

Refer to the following suggestion for tackling the housing problem.

The government should build a new type of housing, called Easy Living, for which the owners can lease their flats at a controlled rent. If the owners want to sell their flats, they can only sell them back to the government.

Compared with owning a private housing unit, _____ will be weakened for those owning an Easy Living housing unit.

- (1) the right to use
 - (2) the right to receive income
 - (3) the right to transfer
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2023/DSE/I/03

A band in Hong Kong adopted a real-name registration system for the sale of its concert tickets. These tickets were not transferrable so that the chance of ticket scalping (炒賣) was reduced,

Which of the following statements about the above real-name registration system is/are correct?

- (1) It is a mechanism to tackle the problem of 'what to produce'.
 - (2) The private property rights over the tickets would be weakened under the system.
 - (3) Non-price competition would not be involved in the allocation of the tickets under the system.
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1), (2) and (3) only

2024/DSE/I/04

When private property rights are weakened, _____.

- (1) resources are less likely to be allocated to their highest-valued use
 - (2) income derived from assets is likely to decrease
 - (3) non-price competition is more likely to arise
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Short & Structured Questions

1993/AL/I/8

In Hong Kong, during the week before the Chinese New Year, many flower bazaars are organized by the government to let vendors sell their New Year commodities to the public. The government allocates the right to operate each stall by tender or bids and the right to operate a stall goes to the vendor who bids the highest price for it. The bidding is usually held a month in advance. Therefore, events that happen after the bidding which would affect the income from operating a stall would not be reflected in the bid. The right to operate a stall is not transferable.

If the right to operate a stall was transferable, would the government receive higher bids for the stalls? Explain. (10 marks)

2004/AL/I/7(b)

Many people go deer hunting. It is reported that among all the people who go deer hunting, less than 10 per cent of them (the superior hunters) get more than 90 per cent of the hunted deer, while the remaining 90 per cent or more of them (the inferior hunters) get less than 10 per cent, or each of them get hardly any deer. Assume for this question that all people who go deer hunting have the same time cost and that they enjoy hunting equally.

As property rights to the deer in the wild are not assigned to any individual or a group of individuals by law or by custom, are there any private property rights to the deer in the wild? Explain. (Hint: Imaging an extreme case where only one of the participants knows how to hunt.) (6 marks)

2013/DSE/II/2(a)

The Hong Kong government plans to introduce the "Hong Kong Property for Hong Kong Residents" policy. The flats built under the policy can only be sold to Hong Kong permanent residents within 30 years.

What are private property rights? Explain why the private property rights over the flats may be weakened under this policy. (4 marks)